

ALet me make it clear that firstly, economic activity generates more revenue. One can't be more basic than that and it does not take rocket science to understand this basic fact. Secondly, when exports are there, you refund your customs and excise duties, because taxes are never exported. So, the projections of loss of revenue are only notional and depend on how creative you can be in your calculation. The truth is that but for the SEZ policy, these investments would not have come to India at all. The basic concept all over the world is that no taxes are exported. While units outside SEZ get duty drawback benefits on exports, those in the SEZs are exempted from payment of various duties. For sale in DTA, the units in SEZs are required to pay the full taxes.

I believe there is a very major substantial revenue gain from SEZs. Any increase in economic activity is going to create jobs, and those who get jobs in turn become consumers who will pay taxes. So, obviously there is an increase in revenue, which will more than offset any notional loss of revenue.

QWould it not have been a better idea to make the incentives conditional on developing socially and economically backward areas? What's the sense in giving incentives to people for setting up real estate SEZs at a stone's throw from Delhi?

AThere are no real estate SEZs! This question is redundant as many of the SEZs are indeed coming up in backward areas of the country and these would ensure an overall development of these areas.

QWhy didn't you link the tax benefits to say the creation of a minimum number of jobs?

AHow can you have SEZs without employment? How can you manufacture without employment? Creation of job opportunities is implicit in SEZs as the main objectives of the SEZs are generation of additional economic activity, promotion of exports of goods and services, promotion of investment from domestic and foreign sources, creation of employment opportunities and development of infrastructure facilities.

It has correctly been projected that if all the proposed 341 SEZs were to go ahead, there would be a Rs. 3,00,000 crore of investment and 4 million additional jobs in the next three years. These projections are not fanciful at all. It is a fact

because India is emerging as a major manufacturing hub and manufacturing for exports will play the most critical role.

QWhat would you do if a SEZ developer sells it three years later with huge gains and then goes on to set up a fresh one at another location availing of all the sops?

AAs I have already indicated, safeguards have been built in the SEZ Act and the SEZ Rules to prevent any misuse. The land in the SEZ cannot be sold by the Developer. Vacant land in SEZ cannot be leased to any person other than a co-developer. The SEZ developer gets a 10-year tax holiday on the profits of the investments made by him in developing the

SEZ. As most of these investments take years to provide the profits, there is no gain if he sells his rights as a developer. This is also subject to the approval of Government. The moment he sells his rights as a developer, he is liable to pay all taxes. His tax holiday is only on the profits made as a developer and not on the sale of his developer rights.

QRaghuvansh Prasad Singh's Resettlement and Rehabilitation proposal includes a point where the company floating an SEZ may have to issue its shares to those it displaces from the location of the SEZ. The corporate sector is against this proposal. Doesn't that expose the claims of the SEZ policy of wanting to give farmers a share in the benefits of economic growth?

AIt has already decided that a comprehensive Resettlement and Rehabilitation Policy would be worked out ensuring livelihood from the project to at least one person from each displaced

family. The Rural Development Ministry is already looking into all these things and whichever way it happens – whether it happens by giving a stake or by giving a job – the fact is that the person displaced must necessarily be a part and parcel of SEZ. The process must be all-inclusive and transparent.

QHis proposal also makes it mandatory for the RR package to be fully implemented before a project can be kicked off which the Tatas have (on record to India Today) also objected to. What's your stand?

AThe new Relief & Rehabilitation Policy when implemented will be applicable to all cases of land acquisitions, including those for SEZs. And I am sure that it will be a good Relief & Rehabilitation Policy.

“ Creation of job opportunities is implicit in SEZs as the main objectives of the SEZs are generation of additional economic activity, promotion of exports of goods and services, promotion of investment from domestic and foreign sources, creation of employment opportunities and development of infrastructure facilities.

It has been projected that if all the proposed 341 SEZs were to go ahead, there would be a Rs.3,00,000 crore of investment and 4 million additional jobs in the next three years. **”**